

Part I

Fundamental accounting I and II

Intermediate accounting I and II

Advanced financial accounting I and II

- 1. The liabilities of Rain Company equal one-fifth of the total assets. The owner's equity is \$40,000. What is the amount of the liabilities?
- A. \$20,000
- B. \$50,000
- C. \$10,000
- D. \$100,000
- E. All
- F. None

The accounting equation can be formulated as:

Equity = Assets - Liabilities, so:

$$\$40,000 = 5 \times \text{Liabilities} - \text{Liabilities}$$

$$\$40,000 = (5 - 1) \text{ Liabilities}$$

$$4 \times \text{Liabilities} = \$40,000$$

$$\text{Liabilities} = \$10,000$$

- 2. If revenue was \$50,000, expenses were \$30,000, and the owner's withdrawals were \$10,000, the amount of net income or net loss would be:
- A. \$20,000 net income
- B. \$20,000 net loss.
- C. \$10,000 net loss.
- D. \$10,000 net income.
- E. All
- F. None

$$\begin{aligned}\text{Net income} &= \text{revenue} - \text{expense} \\ &= 50000 - 30000 \\ &= 20000 \text{ net income}\end{aligned}$$

A

- 3. The Supplies account began the year with a balance of \$1,000. During the year, supplies in the amount of \$4,000 were purchased. At the end of the year, December 31, the inventory of supplies on hand was \$600. Identify the correct year-end adjusting entry for supplies expense for the year.
- A. Dr. Supplies4,000
 - Cr. Cash/Accounts Payable.....4,000
- B. Dr. Supplies expense.....600
 - Cr. Supplies.....600
- C. Dr. Supplies expense.....4,400
 - Cr. Supplies.....4,400
- D. Dr. Supplies.....4,400
 - Cr. Supplies expense 4,400
- E. All
- F. None

$$\text{Supplies expense} = \text{Beginning supplies} + \text{Purchase} - \text{supplies on hand}$$

$$4400 = 1000 + 4000 - 600$$

C

- 4. During the month of January, deposits in the amount of \$120,000 were received for services to be performed, and recorded as a liability. By the end of the year December 31, services in the amount of \$100,000 had been performed.
- Identify the correct adjusting entry for Service Revenue at the end of the month
- A. Dr. Accounts Receivable100,000.
- Cr. Service Revenue.....100,000
- B. Dr. Unearned service revenue100,000.
- Cr. Service Revenue.....100,000
- C. Dr. Cash.....120,000
- Cr. Unearned service revenue.....120,000
- D. Dr. Unearned service revenue.....120,000.
- Cr. Service Revenue..... 120,000
- E. All
- F. None

B

• 5. Based on the following data, Answer questions from 5-7:

- Merchandise inventory, March 1 \$ 35,000
- Merchandise inventory, March 31 40,000
- Purchases 384,000
- Purchases returns and allowances 11,000
- Purchases discounts 3,000
- Freight in 6,000

• Determine the cost of goods purchased for March:

- A. \$376,000
- B. \$384,000
- C. \$370,000
- D. \$405,000
- E. All
- F. None

$$CGS = BI + CMP - EI$$

$$CMP = NP + \text{Freight in}$$

$$NP = P - PRA - PD$$

$$NP = 384000 - 11000 - 3000 = 370000$$

$$CMP = 370000 + 6000 = 376000$$

$$CGS = 35000 + 376000 - 40000 = 371000$$

A

• 6. Based on the following data, Answer questions from 5-7:

- Merchandise inventory, March 1 \$ 35,000
- Merchandise inventory, March 31 40,000
- Purchases 384,000
- Purchases returns and allowances 11,000
- Purchases discounts 3,000
- Freight in 6,000

• Determine the cost of goods available for sale for March:

- A. \$371,000
- B. \$384,000
- C. \$411,000
- D. \$405,000
- E. All
- F. None

$$CGS = BI + CMP - EI$$

$$CGAFS = BI + CMP$$

$$CMP = NP + \text{Freight in}$$

$$NP = P - PRA - PD$$

$$NP = 384000 - 11000 - 3000 = 370000$$

$$CMP = 370000 + 6000 = 376000$$

$$CGAFS = 35000 + 376000 = 411000$$

$$CGS = 35000 + 376000 - 40000 = 371000$$

C

• 7. Based on the following data, Answer questions from 5-7:

- Merchandise inventory, March 1 \$ 35,000
- Merchandise inventory, March 31 40,000
- Purchases 384,000
- Purchases returns and allowances 11,000
- Purchases discounts 3,000
- Freight in 6,000

• Determine the cost of goods Sold for March: $CGS = BI + CMP - EI$

• A. \$371,000

$$CGAFS = BI + CMP$$

• B. \$384,000

$$CMP = NP + \text{Freight in}$$

• C. \$370,000

$$NP = P - PRA - PD$$

• D. \$405,000

$$NP = 384000 - 11000 - 3000 = 370000$$

• E. All

$$CMP = 370000 + 6000 = 376000$$

• F. None

$$CGAFS = 35000 + 376000 = 411000$$

$$CGS = 35000 + 376000 - 40000 = 371000$$

A

- 8. The trial balance of Cloud Company had accounts with the following normal balances: Cash \$5,000, Service Revenue \$85,000, Salaries and Wages Payable \$4,000, Salaries and Wages Expense \$40,000, Rent Expense \$10,000, Owner's Capital \$42,000; Owner's Drawings \$15,000; Equipment \$61,000.
- In preparing a trial balance, the total in the debit column is:
- A. \$131,000
- B. \$91,000
- C. \$216,000
- D. \$116,000
- E. All
- F. None

Debit normal side balance

Asset = cash 5000

 equipment 61000

Expense =

Salaries and Wages Expense \$40,000

Rent Expense \$10,000

Drawing = Owner's Drawings \$15,000

= 131000 **A**

- 9. In preparing bank reconciliation, not sufficient fund check is
- A. Added to balance per depositor's book
- B. Added to the balance per bank statement
- C. Deducted from the balance per depositor's book
- D. Deducted from the balance per bank statement
- E. All
- F. None

C

- 10. At the end of December 2022, Star Company's management estimates the uncollectible accounts expense to be 1% of net credit sales of \$2,000,000. Identify the correct journal entry to record the uncollectible accounts expense, assuming the Allowance for Uncollectible Accounts has a credit balance of \$5,000:
- A. Dr. Uncollectible accounts/bad debt expense.....20,000
Cr. Allowance for Uncollectible Accounts.....20,000
- B. Dr. Uncollectible accounts/bad debt expense.....15,000.
Cr. Allowance for Uncollectible Accounts.....15,000
- C. Dr. Uncollectible accounts/bad debt expense.....25,000
Cr. Allowance for Uncollectible Accounts.....
25,000
- D. Dr. Uncollectible accounts/bad debt expense.....20,000
Cr. Accounts Receivable.....20,000
- E. All
- F. None

A

- 11. On April 5, 2022, if merchandise is sold on account to a customer for \$10,000, terms FOB shipping point, 1/10, n/30, and amount of freight is 500, one of the following is **not** correct
- A. Freight cost will be covered by the seller
- B. Freight cost will be covered by the buyer
- C. Discount for early payment is \$100
- D. No discount for collection after April 15, 2022
- E. All
- F. None

A

- 12. A company purchased land for \$ 90,000 cash. Real estate broker's commission was \$5,000 and \$7,000 was spent for demolishing an old building on the land before construction of a new building could start.
- Under the cost principle, the cost of land would be recorded at
- A. \$97,000.
- B. \$90,000.
- C. \$95,000.
- D. \$102,000.
- E. All
- F. None

Cost of land = purchase price + other cost incurred for read for used

$$90000 + 5000 + 7000 = 102000$$

D

- 13. A company purchased factory equipment for \$250,000. It is estimated that the equipment will have a \$25,000 salvage value at the end of its estimated 5-year useful life. If the company uses the double-declining-balance method of depreciation, the amount of annual depreciation recorded for the second year after purchase would be

- A. \$100,000.

- B. \$60,000

- C. \$90,000.

- D. \$43,200.

- E. All

- F. None

$$\text{Rate} = (1/n) * 2 = (1/5) * 2 = 0.4$$

	B. Book value	rate	dep Ex	Acc Dep exp	E book value
1.	250000	0.4	100000	100000	150000
2.	150000	0.4	60000	160000	90000

B

- 14. On July 1, 2008, Meed Kennels sells equipment for \$66,000. The equipment originally cost \$180,000, had an estimated 5-year life and an expected salvage value of \$30,000. The accumulated depreciation account had a balance of \$105,000 on January 1, 2008, using the straight-line method. The gain or loss on disposal is

- A. \$9,000 gain.
- B. \$6,000 loss.
- C. \$9,000 loss.
- D. \$6,000 gain.
- E. All
- F. None

$$\text{Annual dep exp} = \frac{\text{cost} - \text{salvage value}}{\text{estimated life}}$$

$$\frac{180000 - 30000}{5}$$

$$\text{Annual dep exp} = 30000$$

$$6 \text{ Month} = 30000/2 = 15000$$

$$\text{Acc Dep exp in July 1 2008} = 15000 + 105000$$

$$= 120000$$

$$\text{Book value} = \text{cost} - \text{Acc dep exp}$$

$$180000 - 120000$$

$$= 60000$$

$$\text{Process value} = 66000 \quad \text{so there is 6000 gain}$$

$$\text{b/ c PV} > \text{Bv}$$

D

- 15. Given the following account balances at year end, compute the total intangible assets on the balance sheet of Anisha Enterprises.

• Cash	\$1,500,000
• Accounts Receivable	4,000,000
• Trademarks	1,000,000
• Goodwill	4,500,000
• Research & Development Costs	2,000,000

- A. \$11,500,000

- B. \$7,500,000

$$1000000 + 4500000 = 5500,000$$

- C. \$5,500,000

C

- D. \$9,500,000

- E. All

- F. None

- 16. If the total debit column exceeds the total credit column of the income statement columns on a worksheet, then the company has
 - A. earned net income for the period.
 - B. an error because debits do not equal credits.
 - C. suffered a net loss for the period.
 - D. to make an adjusting entry.
 - E. All
 - F. None

debit is expense
Credit is revenue
If expense > revenue there is loss

C

- 17. The income statement for the month of June, 2023 of Taylor Enterprises contains the following information:
- Revenues £16,000
- Expenses:
- Salaries and Wages Expense 4,000
- Rent Expense 3,000
- Supplies Expense 600
- Advertising Expense 400
- Insurance Expense. 200
- Total expenses 8,200
- Net income 7,800
- The entry to close Income Summary to Retained Earnings includes
- A. a debit to Revenue for £16,000.
- B. credits to Expenses totalling £8,200.
- C. a credit to Income Summary for £7,800
- D. a credit to Retained Earnings for £7,800.
- E. All
- F. None
- Other:

D

- 18. Income Summary has a credit balance of \$12,000 in J. Wenger Co. after closing revenues and expenses.
- The entry to close Income Summary is
 - A. credit Income Summary \$12,000, debit Retained Earnings \$12,000.
 - B. credit Income Summary \$12,000, debit Dividends \$12,000.
 - C. debit Income Summary \$12,000, credit Dividends \$12,000.
 - D. debit Income Summary \$12,000, credit Retained Earnings \$12,000.
 - E. All
 - F. None

Income Summary has a credit balance mean the company generate profit

D

- 19. During August, 2017, Joe's Supply Store generated revenues of \$150,000. The company's expenses were as follows: cost of goods sold of \$60,000 and operating expenses of \$10,000. The company also had rent revenue of \$2,500 and a gain on the sale of a delivery truck of \$5,000.
- Joe's other income and expense (loss) for the month of August, 2017 is

- A. \$0.
- B. \$2,500.
- C. \$5,000.
- D. \$7,500.
- E. All
- F. None

D

- 20. During the year, Carla's Pet Shop's merchandise inventory decreased by \$40,000. If the company's cost of goods sold for the year was \$650,000, purchases must have been
- A. \$690,000.
- B. \$610,000.
- C. \$570,000.
- D. \$650,000
- E. All
- F. None

Let the beginning inventory be X.

Then ending inventory is $X - 40,000$

Cost of Goods Sold = Beginning Inventory + Purchases - Ending Inventory

or $650,000 = X + \text{Purchases} - (X - 40,000)$

or $650,000 = X + \text{Purchases} - X + 40,000$

or Purchases = 610,000

B

- 21. Consider the following: Cash in Bank – checking account of \$13,500, Cash on hand of \$500, Post-dated checks received totaling \$3,500, and Certificates of deposit totaling \$124,000.
- How much should be reported as cash in the balance sheet?

- A. \$ 13,500.
- B. \$ 14,000.
- C. \$ 17,500.
- D. \$131,500.
- E. All
- F. None

Answer: The cash balance in the balance sheet is \$14,000.

Explanation,

Cash and Cash Equivalents include bank accounts and marketable securities, or debt instruments with maturities of fewer than 90 days.

A check that has been issued with a date other than the current date is known as a post-dated check. Hence, it is not a Cash Element.

The fixed-income financial instrument known as a certificate of deposit is issued in dematerialized form. Hence, it is not a cash element.

B

- 22. Tresh, Inc. had the following bank reconciliation at March 31, 2010:
- Balance per bank statement, 3/31/10 \$37,200
- Add: Deposit in transit 10,300
- 47,500
- Less: Outstanding checks 12,600
- Balance per books, 3/31/10 34,900
- Data per bank for the month of April 2010 follow:
- Deposits \$46,700
- Disbursements 49,700
- All reconciling items at March 31, 2010 cleared the bank in April. Outstanding checks at April 30, 2010 totaled \$6,000. There were no deposits in transit at April 30, 2010. What is the cash balance per books at April 30, 2010? Answer: \$31,900
- A. \$28,200 Explanation,
- B. \$31,900 Statement showing Cash Balance as per books on April 30, 2010
- C. \$34,200
- D. \$38,500
- E. All
- F. None

Particulars	Amount
Balance per bank statement	\$34,900
Add: Deposits	\$46,700
Less: Disbursements	49,700
Balance as per Book	\$31,900

B

- 23. Under which of the following inventory costing methods is the ending inventory based on the costs of the most recent purchases?
- A. specific identification
- B. weighted-average
- C. last-in, first-out
- D. first-in, first-out
- E. All
- F. None

D

- 24. A company purchased 500 units for Br.30 each on January 31.
- It purchased 550 units for Br.33 each on February 28.
- It sold a total of 650 units for Br.45 each from March 1 through December 31.
- What is the cost of ending inventory on December 31 if the company uses the first-in, first-out (FIFO) inventory costing method? (Assume that the company uses a perpetual inventory system.)
- A. Br.13,200
- B. Br.10,200
- C. Br.12,000
- D. Br.1,800
- E. All
- F. None

Purchase	Cost of good sold	Inventor
500*30 = 15000 550 * 33= 18150	500*30= 15000 150*33= 4950 CGS= 19950	500 *30 = 15000 550 * 33= 18150 400*33= 13200 EI Cost = 13200 A

- 25. Kaki Company purchased a depreciable asset for Br.600,000. The estimated salvage value is Br.30,000, and the estimated useful life is 10,000 hours. Kaki used the asset for 1,100 hours in the current year. The activity method will be used for depreciation. What is the depreciation expense on this asset?
- A. Br. 57,000
- B. Br. 62,700
- C. Br. 66,000
- D. Br. 570,000
- E. All
- F. None

$$\frac{\text{Cost} - \text{salvage value}}{\text{Estimate useful life}}$$

$$\frac{600000 - 30000}{10000} = \text{br } 57/\text{h}$$

$$\text{Year 1: } 57 * 1100 = 62700$$

B

- 26. When investor company acquires a voting interest of more than 50% in investee company
- A. the investor company is referred to as subsidiary
- B. the investee company is referred to as payment
- C. the parent prepares consolidated financial statement
- D. the parent uses an Equity Method of Accounting
- E. All
- F. None

C

- 27. As per the requirements of IFRS 16 which one of the following is the correct statement?
- A. the lessee records asset equal to the present value of the rental payment
- B. the lessee records liability equal to the present value of the rental payment
- C. the lessee records depreciation on the leased asset
- D. the lessee treats the lease payments as consisting of interest and principal
- E. All
- F. None

E

- 28. Greene Corporation pays Br.500,000 to acquire 40% of the voting stock of Universal Technologies, Inc. on May 5, 2019. This investment will be classified as a(n) _____.
- A. trading equity investment
- B. available-for-sale equity investment
- C. significant influence equity investment
- D. held-to-maturity equity investment
- E. All
- F. None

C

- 29. In a bond amortization table for bonds issued at discount.
- A. the interest expense is less than interest payment at the end of each period
- B. the interest expense is greater than interest payment at the end of each period
- C. the carrying amount the bonds declines eventually to face value
- D. the reduction in the discount is less with each successive interest payment
- E. All
- F. None

B

SCHEDULE OF BOND DISCOUNT AMORTIZATION EFFECTIVE-INTEREST METHOD—SEMIANNUAL INTEREST PAYMENTS 5-YEAR, 8% BONDS SOLD TO YIELD 10%				
Date	Cash Paid	Interest Expense	Discount Amortized	Carrying Amount of Bonds
1/1/15				€ 92,278
7/1/15	€ 4,000 ^a	€ 4,614 ^b	€ 614 ^c	92,892 ^d
1/1/16	4,000	4,645	645	93,537
7/1/16	4,000	4,677	677	94,214
1/1/17	4,000	4,711	711	94,925
7/1/17	4,000	4,746	746	95,671
1/1/18	4,000	4,783	783	96,454
7/1/18	4,000	4,823	823	97,277
1/1/19	4,000	4,864	864	98,141
7/1/19	4,000	4,907	907	99,048
1/1/20	4,000	4,952	952	100,000
	<u>€40,000</u>	<u>€47,722</u>	<u>€7,722</u>	

^a€4,000 = €100,000 × .08 × 6/12
 ^c€614 = €4,614 – €4,000

^b€4,614 = €92,278 × .10 × 6/12
 ^d€92,892 = €92,278 + €614

- 30. Which one of the following best express IFRS 11 in terms of its objective on entities that have an interest in joint arrangements.
- A. Regulate accounting policy to be applied
- B. Establish principles for financial reporting
- C. Achieve uniformity in the accounting policies used
- D. Unify the accounting techniques used
- E. All
- F. None

B

- 31. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the parties sharing control to have.
- A. Highest level of professionalism
- B. Unanimous consent
- C. Collective judgement
- D. Unbiased decisions
- E. All
- F. None

B

- 32. On 1 June 2011 Bridget Ltd acquired an item of plant for an agreed consideration of 1,000 of its own shares.
- The plant was received on 1 June 2011 and the obligation to transfer shares was to be settled on 1 August 2011. The fair value of the plant was \$10 000 on 1 June 2011. Bridget's share price was \$8 on 1 June 2011 and \$9 on 30 June 2011.
- In accordance with IFRS 2 Share-based Payment Bridget should
- A. remeasure the equity to \$9000 on 30 June 2011.
- B. initially recognize the plant and equity at \$8000 on 1 June 2011.
- C. make no entry in relation to the transaction until 1 August 2011.
- D. initially recognize the plant and equity at \$10 000 on 1 June 2011.
- E. All
- F. None

D

- 33. Balances of the deferred tax accounts of Taxflow Ltd were as follows
-
-
-
-
-
-

	30 June 2013	30 June 2014
--	--------------	--------------

- | | | |
|------------------------|--------------|--------------|
| Deferred tax liability | 3,200 Credit | 2,000 Credit |
| Deferred tax asset | 2,650 Debit | 1,900 Debit |
- Income tax expense for the year ended 30 June 2014 was \$1,750. The current tax payable at 30 June 2014 is \$200 less than the current tax payable at the preceding year end.
 - What was the amount of income tax paid during the year ended 30 June 2014?

- A. nil
- B. \$1,500
- C. \$2,400
- D. \$3,900
- E. All
- F. None

C

	\$	\$
Tax expense	1 750	
Deferred tax liability	1 200	
Deferred tax asset		750
Tax payable		2 200

The cash outflow is then simply the credit to tax payable plus the decrease in tax payable as follows:

	\$
Credit to tax payable	2 200
Plus: Decrease in tax payable	<u>200</u>
	<u>2 400</u>

- 34. On 8 August 2013, Alpha Ltd acquired 20 000 shares in Beta Ltd in return for an issue of 10 000 of its own shares. At that date, Alpha's shares had a current market value of \$2.70 each. Shares of Beta have a current market value of \$1.30 each.
- Fees paid to legal advisers for the transaction totaled \$2000.
- What is the amount of the consideration transferred?
- A. \$26,000
- B. \$27,000
- C. \$28,000
- D. \$29,000
- E. All
- F. None

$$\begin{aligned} &2.7 * 10000 \\ &= 27000 \end{aligned}$$

B

- 35. Roller Ltd is testing an asset for impairment. The carrying amount of the asset is \$85 000. The following data has been obtained by Roller in relation to the asset.
- • Future cash flows expected to be derived from the asset, \$100 000.
- • Estimated fair value of the asset, \$80 000.
- • Present value of future cash flows expected to be derived from the asset, \$60 000.
- • Costs of disposal for the asset, \$2000.
- In accordance with IAS 36 Impairment of Assets, what is the recoverable amount of the asset? Select which one of the following is correct.
- A. \$60,000
- B. \$78,000
- C. \$80,000
- D. \$100,000
- E. All
- F. None

Recoverable amount is the height of FV less to cost and Value in use

FV Less to cost = $80000 - 2000 = \mathbf{78000}$

Value in used = 60000

B

- 36. PS is a farmer and is concerned how to apply IAS 41, Agriculture on his financial statements. Which of the following assets owned by PS is subject to the standard?
- A. 3,000 liters of milk waiting for collection by the local milk processing entity
- B. License from the government allowing to produce 2,500 liters of milk per day
- C. 200 hectares of land on which the cows feed
- D. A head of 100 cows held for the production of milk
- E. All
- F. None

D

- Based on the following information, answer 37-38 questions
- 37. ABC Company operates in five segments. Extracts of data from these segments for the year ended Sene 30, 2013 is given below

	Retail	Catering	Manuf.	Publ.	Transport
• Revenue (External).	800.	360.	1,300.	860.	340
• Revenue(Intersegment).	-	220	-	-	40
• Profit (loss)	50.	345.	(30).	(450).	45

- According to IFRS 8, which components of ABC should be considered as reportable segment using only the revenue quantitative threshold as criteria?

- A. All the five fulfill the criteria
- B. Retail; Manufacturing and Publishing only
- C. Retail; Catering; Manufacturing and Publishing only
- D. Retail; Manufacturing; Publishing and Transport only
- E. All
- F. None

		C
R	800	0.20
C	580	0.14
M	1300	0.33
P	860	0.21
T	380	0.09
Total	3920	

- Based on the following information, answer 37-38 questions
- 38. ABC Company operates in five segments. Extracts of data from these segments for the year ended Sene 30, 2013 is given below

	Retail	Catering	Manuf.	Publ.	Transport
• Revenue (External).	800.	360.	1,300.	860.	340
• Revenue(Intersegment).	-	220	-	-	40
• Profit (loss)	50.	345.	(30).	(450).	45

- Using only the profit(loss) quantitative threshold as criteria, which components should be considered as reportable segment of ABC as per IFRS 8

- A. All the five fulfill the criteria
- B. Retail; Catering; Publishing and Transport only
- C. Catering and Publishing only
- D. Retail; Catering and Publishing only
- E. All
- F. None

R	50		0.11
C	345		0.78
M		30	0.06
P		450	0.93
T	45		0.1
Total	440	480	

B

- 39. Under IAS 34, interim financial reports should be published
- A. Once a year at any time in that year.
- B. Within a month of the half-year-end.
- C. On a quarterly basis.
- D. Whenever the entity wishes.
- E. All
- F. None

D

- 40. Hope Ltd has determined that one of its cash-generating units (CGUs) has sustained an impairment loss of \$50 000. The carrying amounts of the assets within the CGU are as follows.
- Asset 1 150,000
- Asset 2 200,000
- Asset 3. 50,000
- Total 400,000
- The estimated fair value less costs of disposal of Asset 2 is \$190 000, which is greater than its value in use.
- A number of options are being considered as the amounts of impairment loss to be allocated to the three assets within the CGU.
- In accordance with IAS 16 Property, Plant and Equipment and IAS 36 Impairment of Assets, which one of the following options would be the amount of impairment loss allocated to the three assets?

- A. Asset 1: 16,667. Asset 2: 16,667. Asset 3: 16,667. Total: 50,000
 - B. Asset 1: 18,750. Asset 2: 25,000. Asset 3: 6,250. Total: 50,000
 - C. Asset 1: 20,000. Asset 2: 10,000. Asset 3: 20,000. Total: 50,000
 - D. Asset 1: 30,000. Asset 2: 10,000. Asset 3: 10,000 Total: 50,000
 - E. All
 - F. None
- Max impairment to allocated to asset 2 is 10000
b/c $190000 > 200000$
- | | | |
|---------|--------|---------------------------------|
| Asset 1 | 150000 | $150000/200000 * 40000 = 30000$ |
| Asset 3 | 50000 | $50000/200000 * 40000 = 10000$ |
| Total | 200000 | |

D

- 41. Alpha Ltd owns 25 per cent of the shares (and voting rights) in Beta Ltd but has no representation on the board of directors of the company. In accordance with IAS 28 Investments in Associates and Joint Ventures, Alpha
- A. will need to have board representation to ensure it has significant influence over Beta.
- B. will have significant influence over Alpha if it has both 20 per cent of the share capital and board representation.
- C. will be presumed to have significant influence over Beta as it holds more than 20 per cent of the voting power in that company.
- D. is presumed to have significant influence over Beta because it has greater than 20 per cent of the share capital of that company.

- E. All
- F. None

A

The existence of significant influence by an entity is usually evidenced in one or more of the following ways:

- (a) representation on the board of directors or equivalent governing body of the investee;
- (b) participation in policy-making processes, including participation in decisions about dividends or other distributions;
- (c) material transactions between the entity and its investee;
- (d) interchange of managerial personnel; or (e) provision of essential technical information

- 42. Which one of the following statements is consistent with the principle of control as defined by IFRS 10 Consolidated Financial Statements?
- A. The investor must be exposed to a return from the investee.
- B. The investor has the ability to use its power over the investee to affect the investor's returns from the investee.
- C. An investor's power over an investee relates to their ability to determine the amount of returns received from the investee.
- D. If two or more investors have existing rights to direct different relevant activities, no investor can have control over the investee.

• E. All

An investor or a parent company controls an investee or a subsidiary company if the investor has all of the following elements:-

• F. None

B

The investor has the power over the investee,
It has the rights, to returns from its involvement with the investee/activities of the investee and
It has the ability to use such power over the investee to affect the amount of the returns from the investee.

- 43. In accordance with IFRS 10 Consolidated Financial Statements and IFRS 12 Disclosure of Interests in Other Entities, a consolidated statement of financial position would not present information relating to which one of the following?
- A. investments in subsidiaries
- B. goodwill acquired by the group
- C. loans to entities not related to the group
- D. non-controlling interests' share of consolidated net assets
- E. All
- F. None

A

- **Part II: Corporate Finance and Financial Institutions**

- 44. A financial management decision that deals with the mix of debt and equity financing of the needs of a firm is:
 - A. Investing and financing decisions
 - B. Capital structure decisions
 - C. Working capital decisions
 - D. Dividend decision
 - E. All
 - F. None

B

- 45. Which one is the most conservative measure of firm's short-term solvency:
- A. Current ratio
- B. Inventory Turnover Ratio
- C. Receivable Turnover Ratio
- D. Quick ratio
- E. All
- F. None

D

The quick ratio is more conservative than the current ratio because it excludes inventory and other current assets, which are generally more difficult to turn into cash.

- Based on the following data, answer questions 46 to 49 below.
- ZEMENAY Company reported the following data for 2022:
 - Net Profit Margin 10%
 - Total Asset Turnover 4
 - Total Debt Ratio 60%
 - Credit sales Birr 2,920,000
 - Average Accounts Receivable Birr 160,000
 - Cost of Goods Sold Rate 40%
 - Day's sales in inventory 15 days
- 46. What is the return on asset (ROA)?
 - A. 24%
 - B. 40%
 - C. 60%
 - D. 120%
 - E. All
 - F. None

$$\text{ROA} = \text{NI} / \text{Total Asset}$$

$$\begin{aligned} \text{ROA} &= \text{NET profit margin} * \text{total asset turnover} \\ &0.1 * 4 = 0.4 \end{aligned}$$

B

- Based on the following data, answer questions 46 to 49 below.
- ZEMENAY Company reported the following data for 2022:

• Net Profit Margin	10%	ROE = NI / Total equity
• Total Asset Turnover	4	Asset TO = Sale / total asset
• Total Debt Ratio	60%	
• Credit sales	Birr 2,920,000	4 = 2920000 / Total asset
• Average Accounts Receivable	Birr 160,000	Total asset = 2920000 / 4 = 730000
• Cost of Goods Sold Rate	40%	
• Day's sales in inventory	15 days	0.1 = NI / 2,920,000
		NI = 0.1 * 2,920,000 = 292000
• 47. What is the return on equity (ROE)?		Total debt ratio = total debt / total asset
• A. 100%		0.6 = total debt / 730000
• B. 40%		Total debt = 0.6 * 730000 = 438000
• C. 60%		Total equity = Asset – liability
• D. 120%		730000 - 438000 = 292000
• E. All		
• F. None		ROE = 292000 / 292000 = 1 OR 100%

A

- Based on the following data, answer questions 46 to 49 below.

- ZEMENAY Company reported the following data for 2022:

- Net Profit Margin 10%
- Total Asset Turnover 4
- Total Debt Ratio 60%
- Credit sales Birr 2,920,000
- Average Accounts Receivable Birr 160,000
- Cost of Goods Sold Rate 40%
- Day's sales in inventory 15 days

- 48. What is the average collection period for credit sales?

- A. 30 days
- B. 45 days
- C. 20 days
- D. 25 days
- E. All

$$\begin{aligned} \text{ACP} &= \frac{\text{AR}}{\text{SALE}} * 365 \\ \text{ACP} &= \frac{160000}{2920000} * 365 = 20\text{DAY} \end{aligned}$$

C

- Based on the following data, answer questions 46 to 49 below.
- ZEMENAY Company reported the following data for 2022:
 - Net Profit Margin 10%
 - Total Asset Turnover 4
 - Total Debt Ratio 60%
 - Credit sales Birr 2,920,000
 - Average Accounts Receivable Birr 160,000
 - Cost of Goods Sold Rate 40%
 - Day's sales in inventory 15 days
- 49. What is the average inventory of the year 2022?
- A. Birr 48,000
- B. Birr 72,000
- C. Birr 96,000
- D. Birr 100,000
- E. All
- F. None

$$AAI = \frac{365}{ITO} \text{ OR } \frac{\text{Inventory}}{CGS/365}$$

$$CGS = 0.4 \text{ OF sale}$$

$$0.4 * 2,920,000 = 1,168,000$$

$$15 = \frac{\text{Inventory}}{1,168,000 / 365}$$

$$15 = \frac{\text{Inventory}}{3200}$$

$$\text{Inventory} = 3200 * 15 = 48,000$$

A

- 50. The future value of an investment would be the lowest when:
- A. Both the compounding period and rate increase
- B. Compounding period increases while the interest rate decreases
- C. Both the compounding period and rate decrease
- D. Compounding period decreases while the interest rate increases
- E. All
- F. None

C

$$FV = PV(1+i)^n$$

- 51. The proposition that the cost of equity is a positive linear function of capital structure is called:
- A. The capital asset pricing model.
- B. MM Proposition I.
- C. MM Proposition II.
- D. The efficient markets hypothesis
- E. All
- F. None

Miller and Modigliani theory mentions two propositions.

Proposition I states that the market value of any firm is independent of the amount of debt or equity in capital structure.

Proposition II states that the cost of equity is directly related and incremental to the percentage of debt in capital structure.

C

- 52. The reason that MM Proposition I does not hold in the presence of corporate taxation is because:
 - A. Levered firms pay less tax compared with identical unlevered firms.
 - B. Bondholders require higher rates of return compared with stockholders.
 - C. Earnings per share are no longer relevant with taxes.
 - D. Dividends are no longer relevant with taxes.
 - E. All
 - F. None

A

- 53. Tomas Inc. is an all equity firm that has 500,000 shares of stock outstanding. The company is in the process of borrowing \$8 million at 9% interest to repurchase 200,000 shares of the outstanding stock.
- What is the value of this firm if you ignore taxes?

- A. \$20.0 million
- B. \$20.8 million
- C. \$21.0 million
- D. \$21.2 million
- E. All
- F. None

Value per share = $(8,000,000) / 200,000 = 40$
value of the equity or firm =
shares of stock outstanding * value per share
= $500,000 * 40$
= 20,000,000

A

- 54. Your firm has a debt-equity ratio of 0.75. Your pre-tax cost of debt is 8.5% and your required return on assets is 15%.
- What is your cost of equity if you ignore taxes?

- A. 11.25%
- B. 12.21%
- C. 16.67%
- D. 19.88%
- E. All
- F. None

$$Re = Ro + D/E * (Ro - Rd)$$

$$Re = 0.15 + 0.75(0.15 - 0.085)$$

$$Re = 0.19875 \text{ or } 19.88\%$$

D

- 55. As a company accounts payable manager, which of the following credit terms are most likely to attract you to take the cash discount?
- A. 1/10 net 45
- B. 2/10 net 60
- C. 1/10 net 30
- D. 2/10 net 90
- E. All
- F. None

D

- 56. Permanent sources of financing include all **except:**
- A. corporate bonds
- B. commercial paper
- C. common stock
- D. preferred stock
- E. All
- F. None

B

- 57. If EOQ = 360 units, order costs are \$5 per order, and carrying costs are \$0.20 per unit, what is the usage in units?
- A. 129,600 units
- B. 2,592 units
- C. 25,920 units
- D. 18,720 units
- E. All
- F. None

$$\begin{aligned} \text{EOQ} &= \sqrt{\frac{2 \cdot D \cdot O}{H}} \\ 360 &= \sqrt{\frac{2 \cdot D \cdot 5}{0.2}} \end{aligned}$$

$$360 = \sqrt{50D}$$

$$360^2 = 50D^2$$

$$\frac{129600}{50} = \frac{50D}{50}$$

$$D = 2592 \text{ Unit}$$

B

- 58. The “bird-in-the-hand” dividend theory suggests that:
 - A. high dividends increase stock value because shareholders believe they can earn a higher return than the company
 - B. high dividends increase stock value because shareholders are more certain of the dividend yield than of potential future capital gains
 - C. high dividends increase stock value because capital markets are inefficient, and dividends are the only sure way to get money from an equity investment
 - D. high dividends decrease stock value because dividend payments take money out of the corporate “nest” and reduce the ability of the corporation to function effectively
 - E. All
 - F. None

B

- 59. Which of the following is **not** an example of financial intermediation?
- A. An Internet company issues shares by selling shares directly to buyers.
- B. A woman opening a new business borrows funds from her uncle.
- C. A professor purchases shares directly from a share company.
- D. A bank extends a mortgage loan to a household.
- E. All
- F. None

B

- 60) Suppose the exchange rate between South Sudan Pound(SSP) and Ethiopian Birr(ETB) is 2.4SSP per ETB while the exchange rate between US Dollar (USD) and Ethiopian Birr is 0.13 USD per ETB. What is the exchange rate between SSP and USD?

- A. 18.46 SSP per USD
- B. 0.312 USD per SSP
- C. 0.054 SSP per USD
- D. 6 USD per SSP
- E. All
- F. None

$$\begin{aligned} \text{ETB/SSP} &= \text{USD / ETB divided by SSP/ USD} \\ 2.4\text{SSP} &= 0.13 \text{ USD} \qquad 2.4/0.13 = \\ &18.46 \end{aligned}$$

$$\begin{aligned} \text{, just like SPP/ USD} &= \text{SSP/ETB} \times \text{ETB/ USD.} \\ &= 2.4/1 * 1/0.13 \\ &= 2.4/0.13 = 18.46 \end{aligned}$$

A

• **61) At 12% interest compounded quarterly for 5 years, what is the interest rate and the number of periods that will be computed before a present or future value table can be used?**

- a. 12%, 5 periods
- b. 6%, 10 periods
- c. 3%, 20 periods
- d. 4%, 15 periods

C

$$12/4 = 3\%$$

$$5 * 4 = 20$$

• 62. The Ethiopia Commodity Exchange (ECX) is a _____ exchange established in Addis Ababa.

- A. Forward
- B. Spot
- C. Derivative
- D. Forex
- E. All
- F. None

B

a spot rate is the price for a commodity being traded immediately, or "on the spot".

- 63. Financial instruments are _____ for the person who buys them, but are _____ for the individual or firm that issues them.
- A. liabilities; assets
- B. negotiable; nonnegotiable
- C. assets; liabilities
- D. nonnegotiable; negotiable
- E. All
- F. None

C

- 64. Which of the following is **not** a function of financial system?
- A. It provides convenient mode of payments.
- B. It reduces the borrowing capacity of firms
- C. It helps in transferring risks to others
- D. It helps government in influencing macro-economic variables
- E. All
- F. None

B

- 65. An investor is aware of a tax-free security that offers a yield of 5.6 percent. The investor is in the 30 percent tax bracket.
- What is the equivalent before-tax yield necessary to match the after-tax yield of the tax-exempt security?

- A. 5%
- B. 18.7%
- C. 8%
- D. 1.7%
- E. All
- F. None

$$\text{after-tax yield} = \text{pretax yield} * (1 - \text{tax rate})$$

$$5.6\% = \text{Pretax yield} * (1 - 0.3)$$

$$\frac{5.6\%}{(1 - 0.3)} = \frac{\text{Pretax yield} * (1 - 0.3)}{(1 - 0.3)}$$

$$\text{Pretax yield} = \frac{0.056}{0.7} = 0.08 \text{ or } 8\%$$

C

- **Part III: Taxation and Public Sector Accounting**

- 66. A tax structure in which the tax rate decline as the tax base is increased
 - A. Regressive
 - B. Proportional
 - C. progressive
 - D. indirect
 - E. All
 - F. None

A

- 67. Good are purchased at VAT inclusive price of Birr 166,750. The amount of input VAT on this transaction
- A. Birr 25,012.50
- B. Birr 21,000.00
- C. Birr 21,750.00
- D. Birr 19,837.50
- E. All
- F. None

$$166750 = X + (X \times 0.15)$$

$$166750 = 1.15X$$

$$\frac{166750}{1.15} = \frac{1.15X}{1.15}$$

$$X = \frac{166750}{1.15} \\ = 145000$$

$$\text{Vat} = 166750 - 145000 \\ = \mathbf{21750}$$

C

- 68. Ato Meseret Yazachew, the owner of Mabi PLC, purchased passengers vehicle for personal use at Birr 200,000 subject to 15% VAT which one of the following is true
- A. The asset account is debited for Birr 200,000
- B. VAT account is debited for Birr 30,000
- C. The asset account is debited with 230,000
- D. VAT account is debited with 26,087
- E. All
- F. None

C

- 69. Which one of the following is **Not** belongs to the group?
- A. Divided income to shareholders
- B. Income from casual rental of property
- C. Income from rendering technical service
- D. Income from rental of building
- E. All
- F. None

D

- 70. Mr.Alemu earns a basic salary of Birr 4,500, transportation allowance of 500, position allowance of 1,000. What will be the employment tax and net pay for Mr.Alemu (No pension contribution)
- A. 935 and 4,645
- B. 697.50 and 3,952.50
- C. 810 and 5190
- D. 597.50 and 3,587.50
- E. All
- F. None

$$GE = 4500 + 500 + 1000 = 6000$$

$$EIT = 6000 * 0.25 - 565 = 810$$

$$NET\ PAY = 6000 - 810 = 5190$$

C

- 71. Which of the following is **NOT** an indirect tax under the income tax proclamation No. 979/2016
- A. Excise Tax
- B. Custom Duties
- C. Royalty
- D. TOT
- E. All
- F. None

C

- 72. Which of the following schedule of the income tax proclamation deals with exemptions
 - A. Schedule E
 - B. Schedule D
 - C. Schedule C
 - D. Schedule A
 - E. All
 - F. None

A

- 73. The General Fund acquired items through purchase on account. Which one of the following entries is made to close purchase orders for which goods and services are NOT fully received at the end of the fiscal period?
- A. DEBIT Encumbrance
- B. DEBIT Reserve for Encumbrance
- C. CREDIT Fund Balance
- D. CREDIT Encumbrance
- E. All
- F. None

D

In order to close the encumbrance at the end of the year:
The journal entry is made below:

General Journal	Debit	Credit
Fund balance	\$XX	
Encumbrances		\$XX

- 74. International Public Sector Accounting Standard 17 deals with
 - A. Presentation of general purpose financial statement
 - B. Accounting policies, changes in accounting estimates and errors
 - C. Property, plant and equipment
 - D. Revenues from non-exchange transactions
 - E. All
 - F. None

C

75) Which of the following is true regarding capital projects funds?

- A) Capital projects funds are considered to be governmental funds.
- B) Capital projects funds use the economic resources measurement focus and accrual basis of accounting.
- C) Encumbrance accounting is not used.
- D) Fixed assets are depreciated in capital projects funds.

A

- 76. In public sector accounting, value for money is measured by
- A. Economy, efficiency and effectiveness
- B. Integrity, honesty and due care
- C. Profit, revenue and cost
- D. Gross Domestic Product, Tax per capita and Balance of Payment
- E. All
- F. None

A

- 77. Which of the following types of funds recognize its long-term debt as a liability and settles it?
- A. Debt Service Fund
- B. Capital Projects Fund
- C. Enterprise Fund
- D. Special Revenue Fund
- E. All
- F. None

A

78) Which of the following would not be considered a government or nonprofit organization?

- A. A software company that sells software exclusively to state and local governments.
- B. A public elementary school.
- C. A church.
- D. A private trust organized for charitable purposes.

A

79) A fund that is used to account for assets held by a government temporarily for one or more other governments units or for individuals or private organizations is a(n):

- A) Agency fund
- B) Private-Purpose Trust Fund
- C) Investment Trust Fund
- D) Pension Trust Fund

A

- **Part IV: Cost and Managerial Accounting**

- 80. Which of the following statements refers to management accounting information?
- A. There are no regulations governing the reports.
- B. The reports are generally delayed and historical.
- C. The audience tends to be stockholders, creditors, and tax authorities.
- D. It primarily measures and records business transactions.
- E. All
- F. None

A

- 81. Classifying a cost as either direct or indirect depends upon:
- A. the behavior of the cost in response to volume changes.
- B. whether the cost is expensed in the period in which it is incurred.
- C. whether the cost can be easily identified with the cost object.
- D. whether an expenditure is avoidable or not in the future.
- E. All
- F. None

C

- Based on the following information answer question no. 82 -84.
- WT Company manufactures several different products. Unit costs associated with Product WT23 are as follows:
 - Direct materials..... Br 40
 - Direct manufacturing labor.....8
 - Variable manufacturing overhead.....12
 - Fixed manufacturing overhead....23
 - Sales commissions (2% of sales).....6
 - Administrative salaries..... ...9
 - Total..... ... Br98
- 82. What are the variable costs per unit associated with Product WT23?
- A. Br. 60
- B. Br. 83
- C. Br. 66
- D. Br. 48
- E. All
- F. None

Direct materials.....	Br 40
• Direct manufacturing labor.....	8
Sales commissions (2% of sales).....	6
• Variable manufacturing overhead.....	12
	TOTAL 66

C

- Based on the following information answer question no. 82 -84.
- WT Company manufactures several different products. Unit costs associated with Product WT23 are as follows:
 - Direct materials..... Br 40
 - Direct manufacturing labor.....8
 - Variable manufacturing overhead.....12
 - Fixed manufacturing overhead....23
 - Sales commissions (2% of sales).....6
 - Administrative salaries..... ...9
 - Total..... ... Br98
- 83. What are the fixed costs per unit associated with Product WT23?
- A. Br. 23
- B. Br. 32
- C. Br. 35
- D. Br. 44
- E. All

Fixed manufacturing overhead....	23
Administrative salaries.....	... <u>9</u>
Total	32

B

- Based on the following information answer question no. 82 -84.
- WT Company manufactures several different products. Unit costs associated with Product WT23 are as follows:
 - Direct materials..... Br 40
 - Direct manufacturing labor.....8
 - Variable manufacturing overhead.....12
 - Fixed manufacturing overhead....23
 - Sales commissions (2% of sales).....6
 - Administrative salaries..... ...9
 - Total..... ... Br98
- 84. What are the inventoriable costs per unit associated with Product WT23?
- A. Br. 60
- B. Br. 66
- C. Br. 48
- D. Br. 83
- E. All

Direct materials.....	Br 40
• Direct manufacturing labor.....	8
• Variable manufacturing overhead.....	12
• Fixed manufacturing overhead....	23
	83

D

- 85. Product X is sold for Br.8 a unit and Product Y is sold for Br.12 a unit. Each product can also be sold at the split off point.
- Product X can be sold for Br.5 and Product Y for Br.4.
- Joint costs for the two products totaled Br.4, 000 for January for 600 units of X and 500 units of Y.
- What are the respective joint costs assigned each unit of products X and Y if the sales value at split off method is used?

Total split off market value

- A. Br.2.96 and Br.4.44
- B. Br.4.00 and Br.4.55
- C. Br.4.00 and Br.3.20
- D. Br.4.55 and Br.4.55
- E. All
- F. None

$$= (600 \times \$5) + (500 \times \$4) = \$5,000$$

Product X

$$= \$3,000 / \$5,000 \times \$4,000 = 2400$$

$$= \$2,400 / 600$$

$$= \$4.00$$

Product Y

$$= \$2,000 / \$5,000 \times \$4,000 = 1600$$

$$= \$1,600 / 500$$

$$= \$3.20$$

C

- 86. All costs incurred beyond the split off point that is assignable to one or more individual products are called:

- A. Byproduct costs
- B. Joint costs
- C. Main costs
- D. Separable costs.
- E. All
- F. None

D

- 87. Which of the following items is **NOT** an assumption of CVP analysis?
- A. Costs may be separated into separate fixed and variable components.
- B. Total revenues and total costs are linear in relation to output units.
- C. Unit selling price, unit variable costs, and unit fixed costs are known and remain constant.
- D. Proportion of different products will remain constant when multiple products are sold
- E. All
- F. None

C

- Answer questions 88-90 using the information below:
- The following information is for Barnett Corporation:

- Product X:
- Revenue \$10.00 & Variable Cost \$2.50
- Product Y:
- Revenue \$15.00 & Variable Cost \$5.00
- Total fixed costs \$50,000

- 88. What is the breakeven point assuming the sales mix consists of two units of Product X and one unit of Product Y?

- A. 1,000 units of Y and 2,000 units of X
- B. 1,013 units of Y and 2,025 units of X
- C. 2,013 units of Y and 4,025 units of X
- D. 2,000 units of Y and 4,000 units of X
- E. All
- F. None

CM = Selling price per unit - Variable cost per unit

Product X's CM per unit = \$10.00 - \$2.50 = \$7.50

Product Y's CM per unit = \$15.00 - \$5.00 = \$10.00

Weighted CM per unit = (2 x \$7.50) + (1 x \$10.00) = \$25 per unit

Breakeven point = Fixed cost / Weighted CM per unit

Breakeven point = \$50,000 / \$25 per unit = 2,000 units

Breakeven point

Product X = 2,000 units x 2 = **4,000 units**

Product Y = 2,000 units x 1 = **2,000 units**

D

- Answer questions 88-90 using the information below:
- The following information is for Barnett Corporation:
- . Product X:
 - Revenue \$10.00 & Variable Cost \$2.50
- . Product Y:
 - Revenue \$15.00 & Variable Cost \$5.00
- . Total fixed costs \$50,000
- 89. What is the operating income, assuming actual sales total 150,000 units, and the sales mix is two units of Product X and one unit of Product Y?

Since the sales mix is 2 to 1 for X and Y respectively, product X has 2/3 of the sales and product Y has 1/3 of sales.

	Product X	Product Y	Total
Units sold	100,000	50,000	150,000
Revenue	\$1,000,000	\$750,000	\$1,750,000
less: Variable costs	\$250,000	\$250,000	\$500,000
Contribution margin	\$750,000	\$500,000	\$1,250,000
less: Fixed costs			\$50,000
Operating income			\$1,200,000
- A. \$1,200,000
- B. \$1,250,000
- C. \$1,750,000
- D. \$1,500,000
- E. All
- F. None

A

- Answer questions 88-90 using the information below:
- The following information is for Barnett Corporation:
- . Product X:
 - Revenue \$10.00 & Variable Cost \$2.50
- . Product Y:
 - Revenue \$15.00 & Variable Cost \$5.00
- . Total fixed costs \$50,000
- 90. If the sales mix shifts to one unit of Product X and two units of Product Y, then the weighted-average contribution margin will:
 - A. increase per unit $\text{Weighted CM per unit} = (2 \times \$7.50) + (1 \times \$10.00) = \25 per unit
 - B. stay the same **$\text{Weighted CM per unit} = (1 \times \$7.50) + (2 \times \$10.00) = \27.5 per unit**
 - C. decrease per unit
 - D. be indeterminable
 - E. All
 - F. None

A

- **Part V: Auditing and Assurance Services**

- 91. The risk of a material misstatement occurring in an account, assuming an absence of internal control, is referred to as:

- A. Account risk.
- B. Control risk.
- C. Detection risk.
- D. Inherent risk.
- E. All
- F. None

D

Control risk is the risk that the internal control arrangements will fail to prevent material deviations, or to detect and correct them on a timely basis.

Inherent risk is the risk of a material misstatement in a company's financial statements without considering internal controls.

Detection risk, which is the risk that the auditor will not detect a material misstatement

- 92. Which of the following is least likely to be considered a financial statement audit risk factor?
- A. Management operating and financing decisions are dominated by top management.
- B. A new client with no prior audit history.
- C. Rate of change in the entity's industry is rapid.
- D. Profitability of the entity relative to its industry is inconsistent.
- E. All
- F. None

B

- 93. Which of the following is **not** an example of a likely adjustment in the auditors' overall audit approach when significant risk is found to exist?
- A. Apply increased professional skepticism about material transactions.
- B. Increase the assessed level of detection risk.
- C. Assign personnel with particular skill to areas of high risk.
- D. Obtain increased evidence about the appropriateness of management's selection of accounting principles.
- E. All
- F. None

Increasing the assessed level of detection risk would result in an increase in overall audit risk.

The auditor should decrease the level of detection risk to decrease level of overall audit risk.

B

- 94. Tracing from source documents forward to ledgers is most likely to address which assertion related to posted entries:

- A. Completeness.
- B. Existence.
- C. Rights.
- D. Valuation.
- E. All
- F. None

A

Existence or occurrence – Assets or liabilities of the company exist at a given date, and recorded transactions have occurred during a given period.

Completeness – All transactions and accounts that should be presented in the financial statements are so included.

Rights and obligations assertions are used to determine that the assets, liabilities, and equity represented in the financial statements are the property of the business being audited.

The valuation assertion is used to determine that the financial statements presented have all been recorded at the proper valuation.

- 95. Determining that receivables are presented at net-realizable value is most directly related to which management assertion?

- A. Presentation and disclosure.
- B. Existence.
- C. Rights.
- D. Valuation.
- E. All
- F. None

D

Existence or occurrence – Assets or liabilities of the company exist at a given date, and recorded transactions have occurred during a given period.

Rights and obligations assertions are used to determine that the assets, liabilities, and equity represented in the financial statements are the property of the business being audited.

The valuation assertion is used to determine that the financial statements presented have all been recorded at the proper valuation.

This is the assertion that all appropriate information and disclosures are included in a company's statements and all the information presented in the statements is fair and easy to understand.

- 96. ISA 705 Modification to the opinion in the independent auditor's report identifies three possible types of modification.

In which of the following circumstances would a disclaimer of opinion be issued?

- A. The auditor concludes that the financial statements include misstatements which are material but not pervasive to the financial statements.
- B. The auditor concludes that the financial statements include misstatements which are both material and pervasive to the financial statements.
- C. The auditor has not been able to obtain sufficient appropriate audit evidence on which to base an opinion but has concluded that the possible effects of any undetected misstatements could be material but not pervasive.
- D. The auditor has not been able to obtain sufficient appropriate audit evidence on which to base an opinion and has concluded that the possible effects of any undetected misstatements could be both material and pervasive.
- E. All
- F. None

D

- 97. In planning the audit engagement, the auditor should consider each of the following except
 - A. The kind of opinion that will likely be given
 - B. Matters relating to the entity's business and the industry in which it operates
 - C. The entity's accounting policies and procedures
 - D. Anticipated levels of control risk and materiality
 - E. All
 - F. None

A

- 98. Family and personal relationships between a member of the assurance team and a director, an officer or certain employees, depending on their role, of the assurance client, least likely create

- A. Familiarity threat
- B. Self-review threat
- C. Self-interest threat
- D. Intimidation threat
- E. All
- F. None

B

A familiarity threat exists if the auditor is too personally close to or familiar with employees, officers, or directors of the client company.

Self-interest threats—threats that arise from auditors acting in their own interest. Self-interests include auditors' emotional, financial, or other personal interests.

Intimidation threat the act of making someone feel timid or afraid — like what you sometimes do to your brother — or it can also refer to that fearful feeling itself

A self-review threat is the threat that a firm will not appropriately evaluate the results of a previous judgment made or an activity performed by an individual within the firm

- 99. Audit risk' represents the risk that the auditor will give an inappropriate opinion on the financial statements when the financial statements are materially misstated. Which of the following categories of risk can be controlled by the auditor?

- Category of risk:

- (1) Control risk

D

- (2) Detection risk

Control risk (together with inherent risk) are components of the risk of material misstatement, which is governed by the circumstances of the audit client and therefore is outside the control of the auditor.

- (3) Sampling risk

- A. (1) and (2)

Detection risk, which is the risk that the auditor will not detect a material misstatement

- B. (2) only

- C. (1) and (3)

- D. (2) and (3)

Sampling risk is the risk that the auditor's conclusions based on a sample may be different from the conclusion if the entire population were the subject of the same audit procedure.

- E. All

- F. None

Sampling risk is a component of detection risk, which is controlled by the auditor.

- 100. After the preliminary judgment about materiality has been established, auditors may:
 - A. Not adjust it.
 - B. Adjust it downward only.
 - C. Adjust it upward only.
 - D. Adjust it either downward or upward.
 - E. All
 - F. None

D